Concept sheet: Fooled by Randomness, Part I, Ch. 1–2 — red-sheet

Answer in your head, then check. Page references are printed book pages.

Part I intro (pp. 9–10)

1. [key move]
Solon would not call Croesus the happiest man, because the uncertain future may still change a man's happiness.

2. [predict]
A fortune made mostly by luck and one made with little luck face the same shock: the luck-made one is likelier to be lost; the other resists better.

3. [predict]
A strategy that wins 95% of the time says nothing about safety unless the loss in the other 5% is bearable.

4. [fact]
Cyrus spared the burning Croesus because Solon's story made him reflect on his own possible fate.

Chapter 1 (pp. 11–25)

5. [definition]
In proprietary trading the trader uses the firm's own money and receives 7%–12% of the profits at year end.

6. [fact]
Nero's average income was about $1,000,000 a year, of which he saved about $500,000 after tax.

7. [fact]
In fall 1994 the traders who had outdone Nero blew up in unison in a bond crash caused by a random tightening by the Federal Reserve.

8. [key move]
Nero never sells naked options, because they leave him exposed to large possible losses.

9. [trap]
Nero jokes that he cuts losers because he was trained by the cowardly trader Stevo; the real reason is his training in probability and his innate skepticism.

10. [fact]
Junk-bond trading depends on estimating the odds of rare events; Nero disagrees with the quantitative tools that produce those odds.

11. [trap]
In Nero's view John had done well because he never made allowance for his vulnerability.

12. [key move]
Nero scorned John but still envied him: intellectual contempt does not control personal envy.

13. [contrast]
John's big house is simply a loan; Nero's house and 4,000 books are his own, and no market event can take them away.

14. [fact]
After John was fired, Nero's elation came less from John's fall than from his methods and track record gaining credibility, which would let him raise public money.

15. [fact]
Evolutionary psychology: visible physical signs of performance, like an animal's dominant condition, serve as signaling, efficient in mate selection.

16. [fact]
Taleb's father: never ask a trader whether he is profitable; you can see it in his gesture and gait.

17. [definition]
Judging a profession by those who succeeded in it, ignoring the average entrant, is what Taleb will later call survivorship bias.

18. [fact]
Taleb defends myths: well-aged ones can be more potent than plain reality, and provide more experience.

Chapter 2 (pp. 26–39)

19. [trap]
The point that outcomes do not prove decision quality is voiced only by people who fail; those who succeed credit the quality of their decision.

20. [predict]
Crowds admire the roulette winner. They see the wealth, but never the process behind it, nor the losers.

21. [definition]
Taleb's “alternative accounting” values money by how much it depended on randomness.

22. [definition]
Thinking “what happens to others won't happen to me” is Taleb's denigration of history.

23. [predict]
A fund shows steady profits and calls itself “low risk”. Taleb's worry: its profits may come from a risk it cannot observe, like an unseen barrel.

24. [contrast]
1980s trading rooms held “business-oriented” people, generally devoid of introspection, who failed in large numbers once products carried counterintuitive payoffs.

25. [fact]
In the 1990s scientists arrived on Wall Street, the dominant specialty being physics; demand grew owing to the rapid development of financial instruments.

26. [in words]
Lauren, who won the coin flip for dinner, said that by Taleb's logic he had paid half the bill, probabilistically.

27. [fact]
The traders Kenny admired for the 1993 bond bull market were, to Taleb, random gunslingers, and they have all exited the business.

28. [fact]
The cemetery of markets is disproportionately stocked with self-styled “bottom line” people.

29. [in words]
Wearing probabilistic glasses, you read historians questioning the inferences and see fools of randomness all around.

30. [trap]
Equally foolish generals who happened to win earned the esteem of the historical chronicler.

31. [key move]
Alexander and Caesar were matched in talent by thousands of others who live in the musty footnotes of history; we know them because they took considerable risks and happened to win.

32. [key move]
Taleb's analogy: he warns a man off $10M roulette; the man wins, and a journalist mocks Taleb: had he listened, it would have cost him a fortune.

33. [in words]
Most results in probability are entirely counterintuitive to our minds.

34. [trap]
Taleb calls most poetic-sounding adages, like the French one that what is well conceived is clearly expressed, plain wrong.

35. [fact]
Example of a truth that sounded absurd: to a 1905 journalist, the claim that time slows down when one travels.

36. [fact]
The average risk manager earns more than the average trader, especially counting traders thrown out of the business.

37. [key move]

Taleb's own solution to the risk manager's dilemma: being both the risk manager and the boss.

Vocabulary (standard terms) — term → meaning

Risk of ruin	probability of losing so much that you cannot continue
Absorbing barrier	a state, like ruin, that once reached cannot be left
Fat tails	extreme outcomes much likelier than a normal curve implies
Asymmetric payoff	gains and losses differ in size or likelihood
Short volatility	earns small steady gains in calm markets, loses heavily in sudden moves
Convexity	long: gains more from big moves than it loses from small ones; short: the reverse
Hindsight bias	believing after the event that it was predictable
Selection bias	sample unrepresentative because of how it was chosen
Base rate	how often an outcome occurs in the whole relevant population
Sharpe ratio	excess return per unit of volatility
Alpha	return beyond what market exposure explains (skill, if real)

Symbols (none appear in pp. 7–39; common in the field) — symbol → name

E[X]	expected value (probability-weighted average)
μ	mean
σ	standard deviation (volatility)
σ²	variance
P(A)	probability of event A

Where it shows up — *my additions, not in the book*

- Trading bot: a high win rate says little. Log the worst single loss and max drawdown (the skewness issue).
- LP project: steady fee income with a rare large loss looks like selling options; sizing matters more than average yield.
- Options study: for each strategy ask who receives small frequent payments and who rare large ones.
- Pixiv / X: one post that did well is one history. Judge the process, and remember the posts nobody saw.
- Same thread: Ch. 3 Monte Carlo, Ch. 7 induction.

Concept sheet: Fooled by Randomness, Part I, Ch. 1–2 — blanked

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E[X]	
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σ	
σ²	
P(A)	

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Review key

1. **the uncertain future may still change a man's happiness** — p.9. Judge a life only at its end.
2. **the luck-made one is likelier to be lost; the other resists better** — p.10. What luck gives, luck can take.
3. **the loss in the other 5% is bearable** — p.10. The skewness issue.
4. **reflect on his own possible fate** — p.10.
5. **the firm's own money / 7%–12% of the profits** — p.14.
6. **$1,000,000 / $500,000** — p.14. Range: $300,000 to $2,500,000 at the peak.
7. **blew up in unison / a random tightening by the Federal Reserve** — p.15. Nero had a flat year in 1993 and looked worse by comparison.
8. **exposed to large possible losses** — p.15.
9. **his training in probability and his innate skepticism** — p.16.
10. **estimating the odds of rare events / the quantitative tools that produce those odds** — p.21.
11. **he never made allowance for his vulnerability** — p.20. Nero also wondered whether this was objective or his feeling of being slighted.
12. **intellectual contempt does not control personal envy** — p.19.
13. **simply a loan / his own, and no market event can take them away** — p.21.
14. **his methods and track record gaining credibility / raise public money** — pp.21–22.
15. **signaling, efficient in mate selection** — p.23.
16. **his gesture and gait** — p.23. The face seldom reveals it.
17. **survivorship bias** — p.24.
18. **more potent than plain reality, and provide more experience** — p.25.
19. **only by people who fail / credit the quality of their decision** — p.26.
20. **the wealth / the process behind it, nor the losers** — pp.27, 29.
21. **how much it depended on randomness** — p.28. Same purchasing power, different quality.
22. **denigration of history** — p.28.
23. **a risk it cannot observe, like an unseen barrel** — pp.28–29.
24. **devoid of introspection / counterintuitive payoffs** — p.30.
25. **physics / the rapid development of financial instruments** — p.31.
26. **he had paid half the bill, probabilistically** — p.30.
27. **random gunslingers / all exited the business** — p.32.
28. **self-styled “bottom line” people** — p.34.
29. **questioning the inferences / fools of randomness all around** — pp.34–35.
30. **earned the esteem of the historical chronicler** — p.35.
31. **thousands of others who live in the musty footnotes of history / took considerable risks and happened to win** — p.35.
32. **had he listened, it would have cost him a fortune** — p.36. Will vs Shiller.
33. **entirely counterintuitive** — p.37.
34. **plain wrong** — pp.37–38.
35. **time slows down when one travels** — p.38.
36. **more than the average trader / traders thrown out of the business** — p.38.
37. **being both the risk manager and the boss** — p.39.